

Independent Contractor Classification Policy

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The classification of workers as independent contractors or employees is a critical aspect of our organization's operations, as it affects various aspects of our business, including tax compliance, benefits administration, and workplace health and safety. As such, we have established this policy to ensure that all workers are properly classified in accordance with applicable laws and regulations.

When engaging an individual as an independent contractor, hiring managers must complete a worker-classification checklist to determine whether the individual should be classified as an employee or independent contractor. This checklist will help identify key factors such as control over the work performed, payment arrangements, and the level of autonomy exercised by the individual. As described under our Software License Compliance Policy, we are required to ensure that all software used by contractors is properly licensed and compliant with applicable laws and regulations.

If a hiring manager determines that an independent contractor should be classified as an employee, the organization will convert the worker's status retroactively, effective as of the date of initial classification. This may involve reclassifying the individual's benefits, tax withholding, and other employment-related matters. As outlined under our Workplace Health and Safety Policy, we are committed to providing a safe working environment for all employees, including those who were previously misclassified as independent contractors.

It is essential that hiring managers understand the implications of misclassifying workers as independent contractors, as this can result in significant financial penalties and reputational damage. To avoid such outcomes, hiring managers must carefully review the worker-classification checklist and consult with HR or other relevant personnel if necessary. By following this policy and ensuring proper classification, we can minimize risks associated with worker misclassification and maintain compliance with applicable laws and regulations.